Human Resource Management - Written Exam Q&A

44 model answers by unit, with marks, marking scheme and where each question was asked

How to use: 2 marks = definition + 1 point (3-4 lines) · 3 marks = intro + 3 points · 5-6 marks = intro + 5-6 headed points + example/table · 10 marks = intro, headings, table/diagram, example, conclusion. **Stars:** *** asked in your PDFs (very likely), ** core syllabus, * possible. Answers marked [answer from standard knowledge] are not in your notes - check them with class notes.

Unit I

Q1. [5 marks] Explain the managerial and operative functions of HRM.

Functions of HRM · ***

Managerial functions

- **Planning** - HR plans, policies.
- **Organising** - structure, duties, authority.
- **Directing** - motivation, leadership, communication.
- **Controlling** - audit, comparison with standards.

Operative functions

- **Procurement** - HR planning, recruitment, selection.
- **Development** - training, career development.
- **Compensation** - pay, incentives, benefits.
- **Integration** - uniting employee and organisational interests.
- **Maintenance** - health, safety, welfare.

Marking scheme: Managerial 2 + operative 3

Asked in: Important Questions - Unit 1, Q3 [answer from standard HRM knowledge - no notes PDF for this unit]

Q2. [3 marks] "HRM policies and principles contribute to the effectiveness, continuity and stability of the organisation." Explain.

HR Policies · ***

- **Effectiveness** - clear policies guide decisions and save time.
- **Continuity** - policies stay the same when managers change.
- **Stability** - equal and predictable treatment reduces conflict.

Example: A written leave policy applies the same rule to every employee.

Marking scheme: 3 × 1

Asked in: Important Questions - Unit 1, Q5 [answer from standard HRM knowledge - no notes PDF for this unit]

Q3. [6 marks] "HRM is not merely an extension of Personnel Management but a paradigm shift." Critically examine this statement by distinguishing between HRM and Personnel Management.

HRM vs Personnel Management · ***

A **paradigm shift** means a change in the whole way of thinking. HRM changes how people are seen - as valuable assets, not as a cost.

Basis	Personnel Management	HRM
View of people	A cost to be controlled	A valuable resource / asset
Approach	Reactive, routine, clerical	Proactive and strategic
Scope	Payroll, attendance, records	Planning, development, motivation, culture

Link with strategy	None or weak	Integrated with business strategy
Role of manager	Staff specialist	Strategic partner and line responsibility
Focus	Short term	Long term

Critical view: the basic functions (hiring, pay, discipline) are the same; the real difference is the strategic outlook, so HRM is a shift in thinking rather than only new functions.

Marking scheme: Meaning 1 · table 4 · critical view 1

Asked in: Important Questions - Unit 1, Q2 [answer from standard HRM knowledge - no notes PDF for this unit]

Q4. [6 marks] Explain the importance of HRM in the emerging scenario. What are the essential skills for an HR manager?

Importance of HRM · ***

Importance

- Competition makes skilled people the main advantage.
- Technology changes need continuous training.
- Better productivity and lower turnover.
- Legal and ethical compliance.

Essential skills

- Communication and interpersonal skills.
- Leadership and negotiation.
- Analytical and IT skills (HR analytics).
- Ethics and integrity.

Marking scheme: Importance 3 · skills 3

Asked in: Important Questions - Unit 1, Q6 [answer from standard HRM knowledge - no notes PDF for this unit]

Q5. [2 marks] Define Human Resource Management.

Introduction to HRM · ***

HRM is the process of **acquiring, developing, motivating and maintaining** a workforce so that the organisation achieves its goals.

Example: Recruiting, training and rewarding staff of a retail chain so that stores run well.

Marking scheme: Definition 1 + point/example 1

Asked in: Important Questions - Unit 1, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q6. [10 marks] Define HRM and discuss its objectives and scope. Trace the evolution of Human Resource Management.

Introduction to HRM · ***

Introduction

HRM is the strategic management of people - acquiring, developing, motivating and maintaining them to achieve organisational goals.

Objectives

- **Organisational** - effectiveness, right person at the right place.
- **Functional** - HR service in line with organisational needs.
- **Societal** - ethical, legal and social responsibility.
- **Personal** - employee growth and satisfaction.

Scope

- Procurement - HR planning, recruitment, selection.
- Development - training, career development.

- Compensation - wages, incentives, benefits.
- Integration and maintenance - industrial relations, welfare, grievances.
- Separation - retirement, resignation, retrenchment.

Evolution

1. **Welfare work** - concern for workers' conditions.
2. **Personnel management** - hiring, payroll, record keeping.
3. **Human resource management** - people as resources, linked to strategy.
4. **Strategic HRM** - HR aligned with business strategy, technology and globalisation.

Conclusion

HRM has moved from clerical administration to a strategic partner of top management.

Marking scheme: Definition 1 · objectives 3 · scope 3 · evolution 3

Asked in: Important Questions - Unit 1, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q7. [3 marks] Explain the objectives of HRM under the headings of organisational, functional, societal and personal objectives.

Objectives of HRM · ***

Objective	Meaning	Example
Organisational	Contribute to organisational effectiveness - right people in the right place	Workforce planning
Functional	Keep the HR department's service in proportion to the organisation's needs	Cost-effective HR services
Societal	Be ethically and socially responsible; follow laws	Fair hiring, no child labour
Personal	Help employees reach personal goals and grow	Training, career paths

Marking scheme: 4 × ¾

Asked in: Important Questions - Unit 1, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q8. [5 marks] Examine the changing role of HR in the era of globalisation and digital transformation.

Role of HR Manager · ***

- **Globalisation** - managing diverse, multicultural teams and global talent.
- **Digital tools** - HR software, online recruitment, e-learning, biometric attendance.
- **Remote and hybrid work** - flexible policies.
- **Skills shift** - reskilling for new technology.
- **Role** - from administrator to strategic partner and change agent.

Marking scheme: 5 points × 1

Asked in: Important Questions - Unit 1, Q7 [answer from standard HRM knowledge - no notes PDF for this unit]

Q9. [6 marks] Discuss the role of the HR manager and how it is changing.

Role of HR Manager · ***

Traditional roles

- Policy maker and administrator.
- Conciliator / mediator - link between management and employees.
- Welfare officer, record keeper.

Changing role

- **Strategic partner** - helps top management plan the business.
- **Change agent** - leads change, culture and technology adoption.
- **Employee champion** - engagement and well-being.
- **Data-driven** - HR analytics, digital tools.

Conclusion: from paperwork to strategy.

Marking scheme: Traditional 2 · changing role 3 · conclusion 1

Asked in: Important Questions - Unit 1, Q4 [answer from standard HRM knowledge - no notes PDF for this unit]

Unit II

Q10. [3 marks] Define Human Resource Planning and explain its process.

Human Resource Planning · ***

HRP is the process of **forecasting an organisation's future demand for and supply of employees** so that the right people are available at the right time.

1. Analyse organisational objectives and plans.
2. Forecast demand for human resources.
3. Forecast supply (internal and external).
4. Find gaps (surplus or shortage).
5. Prepare and implement action plans; review.

Marking scheme: Definition 1 + steps 2

Asked in: Important Questions - Unit 2, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q11. [3 marks] Explain the methods of forecasting supply of human resources.

Human Resource Planning · ***

- **Markov analysis** - shows how people move between jobs and out of the firm.
- **Skill inventory** - records of employees' skills.
- **Replacement / succession charts** - who can replace whom.
- **External supply study** - labour market, campuses.

Marking scheme: 3 × 1

Asked in: Important Questions - Unit 2, Q4 [answer from standard HRM knowledge - no notes PDF for this unit]

Q12. [3 marks] What are the barriers to effective HRP, and how can they be overcome?

Human Resource Planning · ***

Barrier	Remedy
Lack of top management support	Show benefits; involve management
Inaccurate data and forecasts	Improve HR information systems
Resistance from managers / employees	Communication and participation

Marking scheme: 3 × 1

Asked in: Important Questions - Unit 2, Q12 [answer from standard HRM knowledge - no notes PDF for this unit]

Q13. [5 marks] Discuss the factors affecting HRP (internal and external). How can an organisation respond to each?

Human Resource Planning · ***

Factors	Examples	Response
Internal	Strategic plan, organisational structure, skills inventory, turnover	Align HR plan with strategy; maintain skill records; retention plans
External	Labour market, economy, technology, government laws	Monitor trends; flexible hiring; reskill; follow laws

Marking scheme: Internal 2 + external 2 + responses 1

Asked in: Important Questions - Unit 2, Q2 [answer from standard HRM knowledge - no notes PDF for this unit]

Q14. [5 marks] Explain the techniques of forecasting demand for human resources. Which technique is most suitable for a growing firm?

Human Resource Planning · ***

- **Delphi technique** - experts' opinions collected anonymously over rounds.

- **Nominal group technique** - structured group discussion.
- **Managerial judgement** - managers estimate needs.
- **Work-study technique** - workload ÷ output per employee.
- **Ratio / trend analysis** - past ratios projected.

Suitable for a growing firm: Delphi or managerial judgement, because history alone cannot predict fast growth.

Marking scheme: 4 techniques × 1 + suitable 1

Asked in: Important Questions - Unit 2, Q3 [answer from standard HRM knowledge - no notes PDF for this unit]

Q15. [3 marks] Describe the methods of collecting job analysis data (observation, interview, questionnaire, diary method).

Job Analysis · ***

Method	How it works
Observation	Analyst watches the job being done
Interview	Job holders and supervisors are questioned
Questionnaire	Written form filled by employees
Diary method	Job holder records daily activities in a log

Marking scheme: 4 × ¾

Asked in: Important Questions - Unit 2, Q13 [answer from standard HRM knowledge - no notes PDF for this unit]

Q16. [5 marks] Distinguish between Job Description and Job Specification. Prepare a sample JD and JS for a Marketing Executive.

Job Analysis · ***

Basis	Job description	Job specification
About	The job	The person
Contents	Title, duties, responsibilities, reporting	Qualifications, skills, experience, traits

Sample - Marketing Executive

- **JD:** promote products, meet customers, prepare sales reports, report to the Marketing Manager.
- **JS:** MBA/BBA; 1-2 years' experience; communication and persuasion skills; basic computer skills.

Marking scheme: Difference 2 + JD 1.5 + JS 1.5

Asked in: Important Questions - Unit 2, Q6 [answer from standard HRM knowledge - no notes PDF for this unit]

Q17. [5 marks] "Job analysis is the cornerstone of all HR activities." Do you agree? Justify your answer.

Job Analysis · **

Yes. Job analysis gives the facts about jobs on which other HR activities depend.

- Planning needs to know the jobs required.
- Recruitment and selection use JD and JS.
- Training is designed from job skills.
- Appraisal standards come from job duties.
- Job evaluation and pay structure start from job analysis.

Marking scheme: Agree 1 + justification 4

Asked in: Important Questions - Unit 2, Q14 [answer from standard HRM knowledge - no notes PDF for this unit]

Q18. [10 marks] What is Job Analysis? Discuss its process, methods and uses. How does it serve as the foundation for other HR functions?

Job Analysis · ***

Meaning

Job analysis collects and analyses information about the **tasks, duties and requirements** of a job.

Process

1. Identify the purpose and jobs to be analysed.
2. Collect data.
3. Prepare job description and job specification.
4. Review and update.

Methods

- Observation
- Interview
- Questionnaire
- Diary method

Uses / foundation

HR function	How job analysis helps
Planning	Defines the jobs the firm needs
Recruitment and selection	Gives job description and job specification
Training	Shows required skills
Appraisal	Sets standards
Job evaluation and pay	Basis of pay structure

Conclusion: every HR activity starts from knowing the job.

Marking scheme: Meaning 1 · process 2 · methods 2 · uses 4 · conclusion 1

Asked in: Important Questions - Unit 2, Q5 [answer from standard HRM knowledge - no notes PDF for this unit]

Q19. [5 marks] Define recruitment and discuss the factors affecting it.

Recruitment · ***

Recruitment is the process of **searching for and attracting potential candidates** to apply for jobs.

- **Internal:** recruitment policy, HR plan, size of firm, image, cost.
- **External:** labour market, unemployment rate, competitors, laws, economy.

Marking scheme: Definition 1 + factors 4

Asked in: Important Questions - Unit 2, Q7 [answer from standard HRM knowledge - no notes PDF for this unit]

Q20. [5 marks] "Internal recruitment boosts morale, but external recruitment brings innovation." Critically evaluate this statement.

Recruitment · **

- **Internal** - motivates staff, cheaper and quicker; but limits fresh ideas and may cause rivalry.
- **External** - brings new ideas and skills; but costly, slower, and may demotivate existing staff.
- **Evaluation:** the statement is broadly true; the best firms use a mix according to the post.

Marking scheme: Internal 2 · external 2 · conclusion 1

Asked in: Important Questions - Unit 2, Q15 [answer from standard HRM knowledge - no notes PDF for this unit]

Q21. [6 marks] Compare internal and external sources of recruitment. Discuss the merits and demerits of each with examples.

Recruitment · ***

Basis	Internal	External
Sources	Promotion, transfer, job posting	Campus, advertisements, agencies, referrals
Merits	Cheap, boosts morale, known performance	Fresh ideas, wider pool
Demerits	Limited choice, no new ideas	Costly, slower, risk of mismatch

Example: Promoting a clerk to supervisor (internal) vs hiring a graduate from campus (external).

Marking scheme: Sources 2 · merits 2 · demerits 2

Asked in: Important Questions - Unit 2, Q8 [answer from standard HRM knowledge - no notes PDF for this unit]

Q22. [6 marks] Discuss the types of employment tests (aptitude, personality, situational). How do they improve reliability and validity of selection decisions?

Selection · ***

Test	Measures
Aptitude	Potential to learn / ability
Personality	Traits and attitudes
Situational	Judgement in job-like situations

- **Reliability** - consistent results on repeating the test.
- **Validity** - the test really predicts job performance.
- Standard tests remove personal bias and compare candidates fairly.

Marking scheme: Tests 3 · reliability/validity 3

Asked in: Important Questions - Unit 2, Q10 [answer from standard HRM knowledge - no notes PDF for this unit]

Q23. [6 marks] Explain the various interviewing techniques. What are the common errors in interviewing and how can they be avoided?

Selection · ***

Technique	Meaning
Structured	Fixed questions in the same order
Unstructured	Free-flowing conversation
Panel	A group of interviewers
Behavioural	Past behaviour examples
Stress	Deliberate pressure to test composure
Telephonic / video	Remote interview

Errors and remedies

- **Halo effect** - one good trait colours all; judge each trait separately.
- **Horns effect** - one bad trait colours all.
- **Bias** / **stereotyping** - use structured questions.
- **Poor listening** - train interviewers.

Marking scheme: Techniques 3 · errors 3

Asked in: Important Questions - Unit 2, Q11 [answer from standard HRM knowledge - no notes PDF for this unit]

Q24. [10 marks] Explain the selection process in detail. Describe each stage, from application screening to the final job offer.

Selection · ***

Introduction

Selection is the process of **choosing the most suitable candidate** from the pool created by recruitment.

Stages

1. **Application screening** - remove unsuitable applications.
2. **Employment tests** - aptitude, personality, situational.
3. **Interviews** - structured, panel, stress and others.
4. **Reference and background check.**
5. **Medical examination.**
6. **Final selection and job offer.**

Each stage removes unsuitable candidates, so cost is spent only on promising ones.

Marking scheme: Introduction 1 · six stages 6 · conclusion 1

Asked in: Important Questions - Unit 2, Q9 [answer from standard HRM knowledge - no notes PDF for this unit]

Unit III

Q25. [5 marks] Define career planning and career development. Explain their objectives and importance for employees and organisations.

Career Management · ***

- **Career planning** - identifying one's career goals and the path to them.
- **Career development** - linking an individual's career needs with the organisation's workforce requirements.
- **Objectives** - match aspirations with opportunities, retain talent, prepare future leaders.
- **Importance for employees** - clarity, growth, motivation.
- **Importance for organisations** - skilled workforce, lower turnover.

Marking scheme: Definitions 2 · objectives 1 · importance 2

Asked in: Important Questions - Unit 3, Q8

Q26. [6 marks] Distinguish between individual career management and organisational career management. Discuss the responsibilities of the individual, the manager and the organisation.

Career Management · ***

Basis	Individual career management	Organisational career management
Focus	Person's own goals	Organisation's workforce needs
Done by	Employee	Organisation through planned career moves

- **Individual:** self-assessment and setting goals.
- **Manager:** feedback, coaching and support.
- **Organisation:** opportunities, training and career paths.

Marking scheme: Difference 3 · responsibilities 3

Asked in: Important Questions - Unit 3, Q10

Q27. [6 marks] Define performance appraisal and explain its concept and objectives. Why is it an important tool of HRM?

Performance Appraisal · ***

Performance appraisal is a process of evaluating an employee's performance of a job in terms of its requirements. (Beach: it also covers his or her potential for development.)

Features

- Systematic, objective, periodic and planned.

Objectives

- Compensation and promotion decisions.
- Training needs.
- Feedback and personal development.

Importance

It links people to goals, motivates and gives data for most HR decisions.

Marking scheme: Definition 1 · features 1 · objectives 3 · importance 1

Asked in: Important Questions - Unit 3, Q5

Q28. [6 marks] Discuss the common biases in performance appraisal. How can an organisation minimise them?

Performance Appraisal · ***

Bias	Meaning
Halo effect	One strong trait inflates all ratings
Horns effect	One weak trait lowers all ratings
Leniency	Rating higher than deserved
Strictness	Rating lower than deserved
Central tendency	Rating everyone average
Recency	Judging only recent events

Remedies

- Train appraisers.
- Clear criteria and KPIs.
- Regular feedback and two-way dialogue.
- 360-degree feedback.

Marking scheme: Biases 3 · remedies 3

Asked in: Important Questions - Unit 3, Q7

Q29. [10 marks] Distinguish between traditional and modern methods of performance appraisal.

Performance Appraisal · ***

Introduction

Appraisal methods are grouped into traditional and modern methods.

Basis	Traditional	Modern
Examples	Straight ranking, paired comparison, grading scale, forced distribution, checklist, essay, critical incidents, field review, confidential reports, group appraisal	Assessment centre, MBO, 360-degree appraisal, human asset accounting, BARS
Focus	Personal traits and past performance	Results, behaviour and development
Rater	Usually the supervisor	Many raters (360-degree)
Objectivity	More subjective	More objective

Key methods explained

- **Straight ranking** - rank from best to worst.
- **Paired comparison** - compare each employee with every other.
- **Forced distribution** - fit staff into set categories.
- **Critical incident** - record dated good and bad incidents.
- **MBO** - results against jointly set SMART goals (Drucker, McGregor).
- **360-degree** - superiors, subordinates and peers rate.
- **BARS** - rating scale anchored to behaviour examples; 5 = Outstanding, 1 = Poor.
- **Assessment centre** - simulated tasks observed by assessors (German Army, 1930).

Conclusion

Modern methods are more objective and development-oriented, but costlier.

Marking scheme: Table 4 · key methods 4 · intro and conclusion 2

Asked in: Important Questions - Unit 3, Q6

Q30. [10 marks] What is succession planning? Explain its process, objectives and benefits. How does it ensure leadership continuity?

Succession Planning · ***

Meaning

Identifying, evaluating, developing and tracking **high-potential employees** for future leadership roles.

Process

1. Identify the key positions in the plan.
2. Identify the employees.
3. Set standards and measure potential.
4. Review the process.
5. Link the plan with HR systems.
6. Give feedback to employees.
7. Measure effectiveness.

Types

- Strategic leadership development, departure-defined, emergency / interim.

Benefits

- Leadership continuity when key people leave.
- Retention and motivation.
- Smooth running of the firm.

Challenges: lack of buy-in, limited resources, incomplete information.

Marking scheme: Meaning 1 · process 4 · types/benefits 4 · conclusion 1

Asked in: Important Questions - Unit 3, Q9

Q31. [6 marks] Define training and development. Explain their need and importance for employees and organisations in a competitive environment.

Training & Development · ***

Training improves skills for the present job (short term). **Development** prepares people for future roles and growth (long term).

Need

- Technology and job changes.
- Gaps between required and actual performance.

Importance

For employees	For the organisation
Better skills and confidence	Higher productivity and quality
Career growth	Lower turnover
Job security	Competitive advantage

Marking scheme: Definitions 2 · need 1 · importance 3

Asked in: Important Questions - Unit 3, Q1

Q32. [6 marks] Explain the process of identifying training needs. Discuss the three levels of analysis with suitable examples.

Training & Development · ***

Level	What is studied	Example
Organisational analysis	Goals, resources and climate	A firm adopting new software needs staff training
Task (job) analysis	Knowledge and skills the job requires	A cashier needs billing-system skills
Person analysis	Which employees need training and what type (appraisal gaps)	An employee with low sales scores needs selling skills

A training need is the gap between required and actual performance.

Marking scheme: Process 1 · three levels 3 · examples 2

Asked in: Important Questions - Unit 3, Q2

Q33. [10 marks] Discuss the various on-the-job and off-the-job training techniques. Compare them and discuss their merits and demerits.

Training & Development · ***

On-the-job

- Coaching, job rotation, apprenticeship, understudy.

Off-the-job

- Lectures, case studies, role play, simulation, vestibule training.

Basis	On-the-job	Off-the-job
Place	At the workplace	Away from work
Merits	Practical and low cost	Controlled learning, no disturbance to production
Demerits	A poor trainer or disturbance to production may affect learning	May be costly and lacks real work conditions

Example: Job rotation in a bank branch (on the job); classroom case study (off the job).

Marking scheme: Techniques 4 · comparison table 4 · example 1 · conclusion 1

Asked in: Important Questions - Unit 3, Q3

Q34. [5 marks] How is the effectiveness of training evaluated? Explain various training evaluation models.

Training Evaluation · ***

Evaluation checks **whether training achieved its objectives**.

Kirkpatrick's four levels

Level	Measures
1. Reaction	Trainee satisfaction (feedback forms)
2. Learning	Knowledge and skills gained (tests)
3. Behaviour	Use of learning on the job
4. Results	Impact on organisational results

Marking scheme: Meaning 1 · four levels 4

Asked in: Important Questions - Unit 3, Q4

Unit IV

Q35. [6 marks] Explain collective bargaining and discuss its process. How does it help in resolving conflicts between management and workers?

Collective Bargaining · ***

Collective bargaining is a process in which **management and employee representatives negotiate** terms and conditions of employment. It is voluntary, bipartite, flexible and continuous.

Process

1. Pre-negotiation preparation (very important - about 83% of the outcome).
2. Negotiation of wages, benefits and administrative issues.
3. Agreement.
4. Ratification, because negotiators may lack final authority.
5. Day-to-day administration by the HR manager.

Helps by settling issues peacefully across the table, ensuring industrial democracy and reducing strikes.

Marking scheme: Meaning 2 · process 3 · help 1

Asked in: Important Questions - Unit 4, Q9

Q36. [6 marks] Define employee compensation and explain its objectives. Discuss the components: base pay, incentives and fringe benefits.

Compensation · ***

Compensation is the **total reward received by an employee** in exchange for services.

- **Objectives:** attract and retain good people, ensure adequate role behaviour, motivate extra-role behaviour.

Component	Meaning	Example
Base (guaranteed) pay	Fixed salary or wage	Basic salary
Incentives (variable pay)	Pay linked to performance	Bonus, piece rate, profit sharing, gainsharing
Fringe benefits	Non-cash benefits	Medical insurance, paid leave, company car
Equity-based pay	Employer shares	Stock options

Marking scheme: Definition 1 · objectives 2 · components 3

Asked in: Important Questions - Unit 4, Q3

Q37. [5 marks] Explain the causes of employee grievances and how they can be redressed.

Grievance · ***

A grievance is any dissatisfaction or feeling of injustice about employment brought to the notice of management.

Causes

- **Management policy** - wages, leave, overtime, seniority, transfer, discipline.
- **Working conditions** - poor job matching and environment.
- **Personal reasons** - over-ambition, excessive self-esteem.

Redressal - Model Grievance Procedure

1. Officer designated by management replies within 48 hours.
2. Head of department within 3 days.
3. Grievance committee within 7 days.
4. Manager's decision within 3 days.
5. Revision petition within 7 days; then voluntary arbitration.

Marking scheme: Causes 2 · redressal 3

Asked in: Important Questions - Unit 4, Q10

Q38. [10 marks] What are industrial disputes? Explain their causes, forms and the machinery for settlement.

Industrial Disputes · ***

An industrial dispute is a conflict between management and workers over employment terms.

Causes

- Wages and allowances, bonus, working conditions.
- Retrenchment, lay-off, victimisation, indiscipline.

Forms

Form	Meaning
Strike	Workers stop work to press demands (economic, sympathetic, sit-down, slow-down, hunger)
Lockout	Employer shuts the workplace
Gherao	Management confined by a human barricade

Picketing	People stationed at the gate to stop workers entering
Retrenchment	Permanent discharge of surplus staff
Lay-off	Temporary setting aside of workmen

Machinery

- **Conciliation** - third party persuades; cannot impose.
- **Arbitration** - neutral arbitrator gives a binding award.
- **Adjudication** - labour courts and tribunals; compulsory and binding.

Marking scheme: Meaning 1 · causes 2 · forms 4 · machinery 3

Asked in: Important Questions - Unit 4, Q8

Q39. [6 marks] Discuss the role of the government, trade unions and management in maintaining healthy industrial relations.

Industrial Relations · ***

Party	Role
Government	Labour laws (Trade Unions Act, 1926; Industrial Disputes Act; Minimum Wages Act, 1948), conciliation, adjudication, wage boards
Trade unions	Represent workers, bargain collectively, protect rights, maintain discipline
Management	Fair pay, safe conditions, grievance procedure, communication and participation

Healthy relations need all three to cooperate.

Marking scheme: Three roles 2 each

Asked in: Important Questions - Unit 4, Q11

Q40. [10 marks] Define Industrial Relations. Discuss its concept, objectives and importance for industrial peace and productivity.

Industrial Relations · ***

Meaning

Industrial relations are the relationship between **management and employees and their organisations**. Dunlop: the complex of interrelations among managers, workers and agencies of government.

Parties

- Employees and trade unions, employers and their associations, government, courts and tribunals.

Scope

- Collective bargaining, workers' participation, disputes and their machinery, grievances and discipline, labour legislation.

Objectives and importance

- Avoid disputes and create harmonious relations.
- Higher productivity and industrial peace.
- Protect interests of management and labour; promote industrial democracy.

Marking scheme: Meaning 2 · parties 2 · scope 2 · importance 3 · intro 1

Asked in: Important Questions - Unit 4, Q7

Q41. [10 marks] What is job evaluation? Explain its objectives, process and importance. How does it help in designing a fair pay structure?

Job Evaluation · ***

Meaning

A systematic way of determining the **value or worth of a job in relation to other jobs**. It starts from job analysis.

Objectives

- Fair wage differentials between jobs.
- Remove inequities and reduce discrimination (age, gender, caste).
- Consistent wage policy, basis for incentives and negotiations, control payroll cost.

Process

1. Gain acceptance.
2. Form the job evaluation committee (experienced employees, union and HR experts).
3. Identify jobs.
4. Analyse and prepare job descriptions.
5. Select the method.
6. Classify jobs.

Fair pay structure

Jobs of equal worth get equal pay and higher worth gets higher pay, so employees see pay as fair.

Marking scheme: Meaning 1 · objectives 3 · process 4 · pay structure 2

Asked in: Important Questions - Unit 4, Q1

Q42. [10 marks] Explain the methods of job evaluation. Discuss the merits and demerits of each.

Job Evaluation · ***

Method	How it works	Merit	Demerit
Ranking	Jobs ranked as whole from highest to lowest	Simplest	Subjective; only for small firms
Classification	Jobs put into predetermined classes or grades	Simple; fits large groups	Hard to define grades
Factor comparison	Jobs ranked factor by factor; money assigned to factors (about 15-20 key jobs)	Consistent	Most complex
Point method	Points for factors such as skill, responsibility, effort, converted to money	Widely used; systematic	Time-consuming

Marking scheme: Four methods 4 × 1 · merits/demerits 4 · intro 1 · conclusion 1

Asked in: Important Questions - Unit 4, Q2

Q43. [6 marks] Explain the concept of wage policy and wage determination. Discuss the principles and the factors that influence wage and salary administration.

Wage & Salary Administration · ***

Wage policy is the set of principles guiding pay; **wage determination** is fixing wage rates for different jobs (using job evaluation, wage surveys and ability to pay).

Principles

- Fairness to both employers and employees; follows law.
- Equal pay for equal work.
- Adequacy, incentive and ability to pay.

Factors

- **Internal:** ability to pay, strategy, job evaluation, employee performance and seniority.
- **External:** laws, economy, inflation, labour market, technology, unions.

Marking scheme: Concept 2 · principles 2 · factors 2

Asked in: Important Questions - Unit 4, Q4 · Important Questions - Unit 4, Q6

Q44. [6 marks] Discuss the concept of minimum wage, fair wage and living wage. What is the role of Wage Boards in wage determination in India?

Wage Concepts · ***

Wage	Meaning
Minimum wage	Meets the basic needs of the worker and family at the lowest acceptable level; legal floor (Minimum Wages Act, 1948)
Fair wage	Between minimum and living wage; depends on productivity and capacity to pay
Living wage	A decent standard of living including education, health and some savings

Order: minimum wage < fair wage < living wage (Committee on Fair Wages, 1948).

Wage Boards are tripartite bodies (employer, employee and independent members) that recommend the wage structure and benefits for an industry.

Marking scheme: Three wages 3 · order 1 · wage boards 2

Asked in: Important Questions - Unit 4, Q5